



PARTNERS *of the* AMERICAS
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IN-KIND CONTRIBUTION POLICY

Effective December 1st, 2017

Enacted

John McPhail
President & CEO



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1. Purpose

The purpose of this policy is to ensure that Partners is compliant with the standards and regulations for the recording of In-Kind Contributions as set forth by Generally Accepted Accounting Principles (GAAP), the Internal Revenue Service (IRS) and the Financial Accounting Standards Board (FASB).

2. Scope

This policy applies to contributions of all in-kind services and assets, including promises to give. It does not apply to transfers of assets that are in substance purchases of goods or services, exchange transactions in which each party receives and sacrifices commensurate value. However, if an entity voluntarily transfers assets to another or performs services for another in exchange for assets of substantially lower value and no unstated rights or privileges are involved, the contribution inherent in that transaction is within the scope of this Policy.

Furthermore, this Policy does not apply to transfers of assets in which the reporting entity acts as an agent, trustee, or intermediary, rather than as a donor or donee. It also does not apply to tax exemptions, tax incentives, or tax abatements, or to transfers of assets from governmental units to business enterprises.

3. Definitions

The following are the definitions for key terms discussed throughout the policy.

3.1 Contributions

A contribution is an unconditional transfer of cash or other assets to an entity or a settlement or cancellation of its liabilities in a voluntary nonreciprocal transfer by another entity acting other than as an owner. Other assets include securities, land, buildings, use of facilities or utilities, materials and supplies, intangible assets, services, and unconditional promises to give those items in the future. Some inflows of assets are not included in the definition of contributions:

1. Transfers that are exchange transactions, in which both parties receive goods or services of commensurate value.
2. Transfers in which the organization is acting as an agent, trustee, or intermediary for the donor (the organization has little or no discretion concerning the use of the assets transferred)
3. Tax exemptions, tax incentives, and tax abatements

3.2 Promises to Give

A promise to give is a written or oral agreement to contribute services or other assets to another entity; however, to be recognized in financial statements there must be sufficient evidence in the form of verifiable documentation that a promise was made and received. A communication that



does not indicate clearly whether it is a promise is considered an unconditional promise to give if it indicates an unconditional intention to give that is legally enforceable.

3.3 Exchange Transactions

Exchange transactions are reciprocal transfers in which each party receives and sacrifices something of approximately equal value. Partners must give up assets, rights or privileges approximately equal to the value of the assets, rights, or privileges received. Value should not be assessed from both Partners and resource provider's point of view and vice versa.

3.4 Hybrid Transactions

A hybrid transaction may also exist where the gift is part contribution and part exchange. An example would be a \$500 per plate fundraising dinner where the value of the dinner (the exchange part) is \$100 and the remaining \$400 is considered contribution.

3.5 Donor Restrictions

A donor-imposed condition on a transfer of assets or a promise to give specifies a future and uncertain event whose occurrence or failure to occur gives the promisor a right of return of the assets transferred or releases the promisor from its obligation to transfer assets promised. In contrast, a donor-imposed restriction limits the use of contributed assets; it specifies a use that is more specific than broad limits resulting from the nature of the organization, the environment in which it operates, and the purposes specified in its articles of incorporation or bylaws or comparable documents for an unincorporated association.

3.6 In-Kind Contributions

In-kind contributions are the combination of both contributed assets and contributed services. In-kind contributions can be inventory, advertising and marketing media, donated items sold for fund-raising purposes, and contributions of long-lived assets. In-kind contributions can be both tangible and intangible personal property. For example this can include tangible in-kind gifts such as furniture, equipment, etc. and intangible gifts of professional services that meet all the criteria of FASB ASC 958-605-258-16.

3.7 Contributed Assets

Contributed assets are noncash assets that are donated to an organization such as property, food or supplies.

3.8 Contributed Services

The receipt of services (not cash) from another entity or individual where such services benefits operations and Partners is under no obligation to pay for the services.

3.9 Affiliate

A party that, directly or indirectly through one or more intermediaries, controls, is controlled by, or is under common control with an entity.



3.10 Agency Relationship

This type of relationship arises when a donor and an organization or two organizations consent that one shall act for the benefit, and under the direction of the other.

3.11 Value and Valuation

Value is the monetary worth of an in-kind contribution at a specific time and valuation is the act of determining that monetary value.

4. Contributed Services – Inclusions and Exclusions

Partners receives a variety of volunteer time, whether it is for direct service in its programs, consultants, vendors, or board involvement. In accordance with GAAP, IRS, and FASB the value of contributed services must be recognized if the service either

- (1) Creates or enhances assets that are not financial in nature (e.g. buildings, materials, supplies, etc.), or
- (2) Requires specialized skills, are provided by individuals with those skills, and would typically need to be purchased if the services had not been donated. Common types of contributed services include architects, teachers, lawyers, accountants, bankers, investment advisors, doctors, construction services and property maintenance.

4.1 Board Contributed Services

Contributed services of Board members are often not allowed to be considered in-kind contributed services, since Board members are expected to utilize their specialized skills in serving Partners as part of the regular roles and responsibilities of a Board member. In the event that a Board member contributes a service that they are specialized in and is deemed outside the normal roles and responsibilities of a Board member, this can then be considered a contribution.

4.2 Contributed Personnel Services from Affiliates

In accordance with the FASB Accounting Standards Update (ASU) 2013-06, “Not-for-Profit Entities: Services Received from Personnel of an Affiliate”, any contributed personnel services Partners receives from any affiliate that directly benefits Partners and for which the affiliate does not charge Partners is considered contributed personnel services from affiliates. Charging Partners means requiring a payment from Partners, at least for the approximate amount of the direct personnel costs (for example, compensation and any payroll-related fringe benefits) incurred by the affiliate in providing a service to Partners or the approximate fair value of that service.

All personnel services received from an affiliate that directly benefit Partners (that is, are similar to personnel directly engaged by Partners), are considered contributed services. For example, that would include services performed by personnel of an affiliate for and under the direction of Partners and shared services. Shared services generally refers to services provided by a centralized function of one or more individuals within the affiliate group that Partners would



otherwise typically need to purchase or have donated, if not provided by those personnel. The most common types of affiliate relationships Partners holds includes, but are not limited to, national or international organizations with local chapters, religious schools, corporate or supporting foundations, etc.

5. Contributed Assets – Inclusions and Exclusions

Contributed assets are noncash assets that are donated to an organization such as property, food or supplies. Other assets include but are not limited to securities, land, buildings, use of facilities or utilities, materials and supplies, intangible assets, services, and unconditional promises to give those items in the future. Contributed assets received shall be recognized as revenues or gains in the period received and as assets, decreases of liabilities, or expenses depending on the form of the benefits received. Contributed assets shall be measured at their fair values in accordance with GAAP, IRS, and FASB.

5.1 Non-Standard Contributed Assets

These items are defined by the IRS as the "contribution of an item that is not reasonably expected to be used to satisfy or further the organization's exempt purpose and for which (a) there is no ready market to liquidate the contribution to convert it to cash and (b) the value of the item is difficult to ascertain or speculative." These could be certain types of gifts, especially in-kind contributions (outdated computers, for instance) that can't easily use or dispose of safely.

5.2 Donor or Legally Restricted Contributed Assets

Partners may also receive in-kind contributions with restrictions on the use of donated assets. It is important to distinguish between legal restrictions and donor restrictions placed on Partners. Donor restrictions should not have an effect on the valuation of an in-kind contribution. However, legal restrictions may affect the determination of the principal market, since market participants would factor those restrictions when valuing the asset in a sale, ex. donated land or property.

5.3 Bulk Quantity In-Kind Contributions

If a nonprofit receives an in-kind contribution in bulk quantity, it should take that into account when determining fair value. Accounting standards state that the quality and quantity of gifts should be considered for valuation purposes.

6. Agency Transactions

Partners may receive in-kind contributions of tangible assets as the ultimate beneficiary. In other cases, Partners may initially receive the in-kind contribution, and then transfers it to another nonprofit beneficiary. If Partners is merely acting as an intermediary and does not have discretion over who receives the contribution, then it should be accounted for as a pass-through agency transaction and not recorded as a contribution. However, if Partners bears the risks and rewards of ownership of the donated goods and has the discretion with regard to the ultimate nonprofit beneficiary, then a contribution should be recorded.



7. In-Kind Gift Acceptance Guidelines

Partners may accept contributions of goods and services that can be used to advance its mission or may be converted readily into cash. Partners reserves the right to refuse any in-kind gift that it deems as not worth accepting. A gift worth accepting generally possesses the characteristics of other beneficial assets, future economic benefit, service potential, or program fulfillment. Partners should consider the following questions when determining to accept an in-kind contribution:

- Can the in-kind contribution be used to support Partners mission and/or programs?
- Can the item be used as is, or does it need significant repair or modification to be useful?
- Does Partners have the staff experience, space, and equipment to store, transport and distribute the items efficiently?
- What costs will Partners incur in accepting and distributing the items and can Partners afford those costs?
- What potential exists for future items from this donor and can it possibly provide a consistent source of support?

8. Donor Tax Deductions & Acknowledgements

A donor may claim an income tax deduction for the full fair market value of an in-kind contribution if it is kept by Partners and used by Partners in connection with one of its tax-exempt purposes. It is the sole responsibility of the donor to determine the value of in-kind contributions; Partners cannot assign a value to the in-kind contribution(s) and will not be responsible for the cost of any appraisal that may be required to be filed with the donor's income tax return.

Partners will enter all in-kind contributions in its tracking database and issue a thank you acknowledgement to the donor. Partners cannot issue an acknowledgement for items contributed that cannot be used or readily converted to cash.

- *For all contributed assets* the thank you acknowledgement will contain a description of the in-kind contribution but will not include a statement as to the value of the asset contributed. It will further contain a statement as to what, if any, goods or services were given in exchange for the contribution. The following form can be completed by Partners, but only at the request of the donor:
 - *IRS Tax Form 8283: Noncash Charitable Contributions* (to be filed by donors making noncash gifts of more than \$5,000). At the request of a donor, Partners will furnish an executed IRS Form 8283 acknowledging receipt of certain contributed asset with a value in excess of \$5,000 and will indicate whether or not its use of the contributed asset will be related to its charitable purpose, but



Partners will not, in any case, make or be deemed to have made, any representations as to the value of the gift.

- *IRS Tax Form 8282: Donee Information Return* (Sale, Exchange or Other Disposition of Donated Property). Partners shall ensure that it files an IRS Form 8282 upon the sale or disposition of any contributed asset sold within three years of receipt of the contributed asset when Partners previously completed the Part IV of IRS Form 8283 for the item. Partners must file this form within 125 days of the date of sale or disposition of the contributed asset.
- *For all contributed services* the thank you acknowledgement will be given upon submission of a timesheet indicating the amount and types of contributed services. Furthermore, the acknowledgement will not include a statement as to the value of the services contributed but will include a statement that states no goods or services were given in exchange for the contributed services.

9. How to Value In-Kind Contributions (Internal Valuation Only)

In the valuation of in-kind contributions, Partners follows all regulations set forth by GAAP, it must also meet all the criteria listed in Financial Accounting Standards Board's (FASB) fair value measurement standard - Accounting Standards Codification (ASC) 958-605-30-11, which indicates that the entity should consider the quality and quantity of the assets received. Furthermore the FASB's fair value measurement standard for in-kind contributions states that fair value is defined as "the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants on the date of the transaction/receipt."

9.1 Measurement at Fair Value

Quoted market prices, if available, are the best evidence of the fair value of nonmonetary assets, including services. If quoted market prices are not available, fair value may be estimated based on quoted market prices for similar assets, independent appraisals, or valuation techniques, such as the present value of estimated future cash flows. Contributions of services that create or enhance nonfinancial assets may be measured by referring to either the fair value of the services received or the fair value of the asset or of the asset enhancement resulting from the services.

9.2 Criteria for Recognition

In accordance with FASB Concepts Statement No. 5, Recognition and Measurement in Financial Statements of Business Enterprises, it states that an item should be recognized in financial statements when four fundamental criteria are met:

- (1) Definitions—the item meets the definition of an element of financial statements.
- (2) Measurability—it has a relevant attribute measurable with sufficient reliability.



- (3) Relevance—the information about it is capable of making a difference in user decisions.
- (4) Reliability—the information is representationally faithful, verifiable, and neutral.

All four criteria are subject to a pervasive cost-benefit constraint. To be useful and worth providing, the expected benefits of information should justify the perceived costs of providing and using it. It is suggested that accounting and financial reporting should reflect "conservatism" whenever uncertainties exist.

10. Valuation of Contributed Services

Partners recognizes all services that create or enhance assets that are not financial in nature or requires specialized skills, are provided by individuals with those skills, and would typically need to be purchased if the services had not been donated.

10.1 Valuation of Contributed Services from United States Volunteers

In order to properly value contributed services from United States volunteers, Partners bases the valuation on the most recent Occupational Employment Statistics provided by the Bureau of Labor Statistics for all occupations (https://www.bls.gov/oes/current/oes_nat.htm#00-0000). Based on the specialized services provided by individuals with those skills, the mean hourly rate will be used to calculate the total value of their contributed services.

10.2 Valuation of Contributed Services from Non-US Volunteers

In order to properly value contributed services from Non-US volunteers, Partners utilizes most recent hourly wage statistics by country from the International Labor Organization (ILO) released in their Global Wage Report.

10.3 Valuation of Contributed Personnel Services from Affiliates

Partners is to recognize all services received from personnel of an affiliate that directly benefit Partners as the not-for-profit entity. Those services should be measured at the cost recognized by the affiliate for the personnel providing those services. However, if measuring a service received from personnel of an affiliate at cost will significantly overstate or understate the value of the service received, Partners as the recipient not-for-profit entity may elect to recognize that service received at either

- (1) The cost recognized by the affiliate for the personnel providing that service or
- (2) The fair value of that service.

11. Valuation of Contributed Assets

Contribution assets should be measured at the fair value of the assets received or promised. Contributions arising from unconditional promises to give that are expected to be collected within one year beyond the end of the current year financial period may be measured at their net realizable value. Fair value can best be measured by quoted market prices. Partners in



compliance with all applicable GAAP, IRS and FASB standards will utilize the below resources when valuing in-kind contributed assets:

- (1) Quoted market prices for similar assets /Online prices of comparable goods
- (2) The asset's replacement cost
- (3) Independent appraisals of the asset's fair value
- (4) Salvation Army's Donation Valuation Guide
- (5) IRS Publication 561, Determining the Value of Donated Property*
- (6) Other valuation techniques, such as discounting the estimated future cash flows

*The IRS Publication 561, Determining the Value of Donated Property

(<https://www.irs.gov/pub/irs-pdf/p526.pdf>) is incorporated in it's entirely by this reference in the policy and any valuations of in-kind contributions will be made in accordance with the requirements contain within the IRS Publication.

12. Duties and Responsibilities

12.1 Responsibility of the Membership unit:

- Coordinate the solicitation of in-kind contributions in accordance with the Policy and within the outlined submission period;
- Assist in the assessment of a contribution's acceptability;
- Support F&A in directing contributions to appropriate accounts.

12.2 Responsibility of F&A:

- Confirm the Membership unit's assessment of a contribution's acceptability;
- Acknowledge contributed services and assets in accordance with the Policy and GAAP, IRS and FASB guidelines;
- Prepare and maintain the In-Kind Contribution policy in accordance with GAAP, IRS, and FASB;
- Manage all in-kind contributions (e.g. value, record, deposit, report);
- Track and record for all in-kind contributions into the financial system;
- Ensure that all contributions follow the regulations set in the Policy;
- Regularly but on a minimum of once per year, review and revise the Policy as necessary based on official accounting & auditing guidelines.

13. In-Kind Recording Procedures

Upon receipt of an in-kind contribution, the Partners employees receiving the contribution should offer an immediate and sincere expression of gratitude. The employee must then contact the Membership unit and F&A, whom have final authority to accept an in-kind contribution in accordance with Partners In-Kind Contribution Policy. If Partners chooses not to accept an in-



kind contribution, Partners will return the item to the donor with an explanation as soon as possible after the decision not to accept it.

The employee who receives the gift cannot offer the donor tax advice or comment on the value of the in-kind contributed item. It is the responsibility of the donor to determine the fair market value of the in-kind contribution and, if a qualified appraisal is required to be filed by the donor with the IRS, the donor must obtain the appraisal at his/her own expense. Upon confirmation that an in-kind contribution will be kept, Partners will issue a donor acknowledgement in accordance with the section above Donor Tax Deductions & Acknowledgements.

Supporting documentation will be required for all in-kind contributions in order to maintain compliance with legal and regulatory requirements.

- For all contributed services the required documentation will be a signed timesheet indicating hours worked and for which programs. All contributed services will utilize Partners online timesheet form PartnersCounts at: iglhrldt.formstack.com/forms/partnerscounts. Paper forms may also be accessed if requested from F&A, but should only be distributed when the circumstances do not allow the use of the online form.
- Documentation for contributed assets may vary based on the asset, but must be documented in writing. Valid examples of documentation include but are not limited to:
 - Emails
 - Receipts
 - Quoted market prices for similar assets /Online prices of comparable goods
 - The asset's replacement cost
 - Independent appraisals of the asset's fair value
 - Salvation Army's Donation Valuation Guide
 - IRS Publication 561, Determining the Value of Donated Property*
 - Other valuation techniques, such as discounting the estimated future cash flows

*The IRS Publication 561, Determining the Value of Donated Property (<https://www.irs.gov/pub/irs-pdf/p526.pdf>) is incorporated in it's entirely by this reference in the policy and any valuations of in-kind contributions will be made in accordance with the requirements contain within the IRS Publication.

All contributed asset records and supporting documentation should be submitted by each program/unit to F&A at the end of each quarter, in the required format (provided by F&A). Contributed assets will only be booked in the year that the asset was received. Program/unit managers will have 15 days upon closure of the quarter to provide the required information. This information will then be reviewed by the F&A team for compliance and then recorded appropriately as listed below.



- Contributed services records (timesheets) will be downloaded from the PartnersCounts database and reviewed quarterly. Contributed services will only be recorded in the year the activity occurred. At the end of each quarter, F&A will download the data and send the timesheet breakdown to the appropriate program/units for approval. Once approval is received by the corresponding program/units, F&A will perform a final review of the timesheet inputs. Partners reserves the right to adjust any timesheet if it believes that the data is inaccurately represented. Once the data has been approved by both the appropriate program/unit and F&A, the data will be recorded within the financial records of Partners as listed below.
- After both the contributed services and assets have been appropriately recorded each quarter, the data will be used to report cost share on Federal form SF-425 for each program. Data that is not recorded on the financial statement will not be added to the SF-425s.

It is important to note that all approved in-kind contributions to Partners will be recorded within the financial statements of Partners, which includes those given to specific programs and the organization in general. However, the amount of in-kind contributions reported on Federal form SF-425 will only record program specific in-kind contributions that comply with all applicable Federal regulations related to cost sharing.

13.1 Recording the In-Kind Entry

The In-kind contribution entry (for both assets and services) will be made by the F&A each quarter. The entry to record the contribution will be a debit to account #9035 – In-Kind Expense and credit to Account #5400 – In-Kind Revenue for the amount as documented.

13.2 Form 990 Treatment

Although in-kind contributed services or use of facilities are recognized as revenue or expense on the Audited Financial Statements, they are not reported on the Federal Form 990. As a result, in-kind gifts are eliminated by adjusting entries on Part IV-A & IV-B of Form 990 (Reconciliations to Audited Financial Statements). Gifts of service do not have any impact on the Partners overhead ratio as the overhead ratio is calculated from the amounts on Federal Form 990 which does not include gifts of service.

14. Record Retention

In-kind contribution documentation, regardless of format, must be retained for a specific period of time in accordance with legal or other institutional requirements, and for historical value. Partners references and complies with IRS publication 4221: Compliance Guide (c)(3) for 501(c)(3) Public Charities viii. Per this IRS regulation, in-kind contributions of \$75 and above



will be saved with no disposal date. All other contributions will be kept in hardcopy for three years and electronic/digital format for perpetuity.

Retention periods for selected records may be increased for various reasons including, but not limited to, government regulation, judicial or administrative orders, contracts, pending or threatened litigation, audit requirements, historical value and/or other institutional requirements. Destruction Records should be destroyed when they have reached the conclusion of the retention period. Records should be disposed of in a manner which preserves the confidentiality of the record(s).